

Financial Statements – Lesson Notes

1. Overview

Financial statements are reports used to understand the financial performance and financial position of a business. They are used by investors, managers, lenders, and regulators to evaluate how a company is performing and whether it is financially healthy.

2. The Three Main Financial Statements

Income Statement

The income statement shows the profitability of a company over a specific time period (for example, a quarter or a year). It summarizes revenue earned and expenses incurred during that period.

Key formula: $\text{Net Income} = \text{Revenue} - \text{Expenses}$

Balance Sheet

The balance sheet shows the financial position of a company at a single point in time. It lists what the company owns (assets), what it owes (liabilities), and the owners' claim on the business (equity).

Key formula: $\text{Assets} = \text{Liabilities} + \text{Equity}$

Cash Flow Statement

The cash flow statement tracks the movement of cash into and out of the company. Unlike the income statement, it focuses only on actual cash received or spent.

Three sections: Operating Activities, Investing Activities, Financing Activities.

3. Key Financial Terms

Term	Definition
Revenue	Money earned from selling products or services
Expenses	Costs incurred to operate the business
Assets	Resources owned by the company (cash, equipment, inventory)
Liabilities	Debts or obligations the company must repay
Equity	Owner's residual claim after liabilities are paid

4. Relationship Between Statements

These financial statements are connected. Net income from the income statement flows into the equity section of the balance sheet. The cash flow statement explains how changes in the balance sheet and

income statement affect cash.

5. Why Financial Statements Matter

Financial statements help investors evaluate profitability, help managers make strategic decisions, allow lenders to assess credit risk, and provide transparency about a company's operations.